

complaint

Mr G complains Liverpool Victoria Insurance Company Limited (LV) has unfairly applied policy limits to his theft claim.

background

In 2015 Mr G's home was broken in to. He made a claim on his LV household insurance. He had more than £20,000 of jewellery stolen. But LV applied a valuables limit of £5,000 to his claim. And it paid him an extra £3,000 for unspecified personal possessions. He wants his claim paid without the valuables and unspecified personal possessions limits being applied. He says when he first took out the cover, LV told him these two limits didn't apply to theft claims. And if he'd known they did, he would have arranged cover with higher limits.

LV didn't accept the policy limits shouldn't be applied to the theft claim. It said the limits were shown on Mr G's insurance documents. And he was told he could change them if they weren't right. But it's given him £100 to make up for how it's handled his complaint about the claim.

Our adjudicator didn't think the complaint should be upheld. Mr G disagreed, so it's come to me.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done this, I'm not upholding it.

I don't know what was said when the policy was first arranged in 2002. There's no telephone recording or documents available. Mr G says the policy was arranged on the basis that the two limits didn't apply to theft claims. And he says LV hasn't told him since that anything had changed. But it's the standard approach for these limits to apply to all claims with household insurance. So without anything to support what Mr G's said I think it's unlikely he was told the limits didn't apply to theft claims.

The earliest information LV's been able to provide is policy documents from 2008. The policy schedule shows the valuables limit as £5,000. And it provides the personal possessions limit. Mr G's schedule for 2015 shows the same limits. His policy summary from 2015 explains the limit for valuables is shown on his schedule. And the full policy document says that contents are covered up to the limits shown on the schedule. None of these documents say there are any exceptions to this limit for theft.

I think the limits probably always did apply to theft. And LV hasn't changed this part of Mr G's cover. The documents show the limits clearly enough for Mr G to understand them. It looks like he was sent renewal information each year. He told LV, during the claim, that he never checked these. If he had he would have seen and understood the policy limits.

So I think it's fair of LV to apply the limits to Mr G's claim. So I'm not making it pay him anything more.

my final decision

For the reasons given above, I'm not upholding Mr G's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr G to accept or reject my decision before 25 April 2016.

Daniel Martin
ombudsman